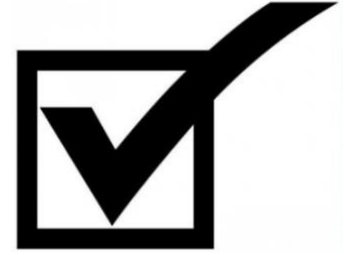




**BUSINESS
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ADVANCED ACCOUNTING (110)

STATE 2022

CONCEPT KNOWLEDGE:

Multiple Choice (25 @ 2 points each) _____ (50 points)

APPLICATION KNOWLEDGE:

Short Answer (24 @ 2 points each) _____ (48 points)

Job 1 - Depreciation _____ (44 points)

Job 2 – Balance Sheet/Financial Ratios _____ (68 points)

Job 3 – Plant Asset Transactions _____ (36 points)

TOTAL POINTS _____ ***(246 points)***

Test Time: 90 minutes

GENERAL GUIDELINES:

Failure to adhere to any of the following rules will result in disqualification:

1. Member must hand in this test booklet and all printouts if any. Failure to do so will result in disqualification.
2. No equipment, supplies, or materials other than those specified for this event are allowed in the testing area. No previous BPA tests and/or sample tests (handwritten, photocopied, or keyed) are allowed in the testing area.
3. Electronic devices will be monitored according to ACT standards.

EXAM GUIDELINES:

You have been hired as a Financial Assistant and will be keeping the accounting records for Digital Solutions, located at 700 Morse Road, Suite 201, Columbus, Ohio 43214. Digital Solutions provides accounting and other financial services for clients. You will complete jobs for Digital Solutions' own accounting records, as well as for clients.

You will have 90 minutes to complete your work. The test is divided into two parts: concept knowledge and application knowledge.

Your name and/or school name should *not* appear on any work you submit for grading. Write your Member ID in the provided space. Staple all pages in order before you turn in your test.

Assumptions to make when taking this assessment:

- Round all calculations to two decimals at the final step.
- Round all percentages to one decimal place.
- Use 360 days for interest calculations.

1.	D	14.	C
2.	A	15.	C
3.	D	16.	D
4.	A	17.	D
5.	A	18.	B
6.	A	19.	B
7.	C	20.	C
8.	B	21.	A
9.	C	22.	D
10.	C	23.	A
11.	B	24.	B
12.	A	25.	D
13.	C		

Short Answer Problems — 48 Points, each worth 2 points

1. a. Account Debited Notes Receivable Amount 2,350
Account Credited Accounts Receivable/Michael Bird Amount 2,350
- b. Account Debited Interest Receivable Amount 21.15
Account Credited Interest Income Amount 21.15
2. a. Account Debited Advertising Expense Amount 1,500
Account Credited Prepaid Advertising Amount 1,500
- b. Account Debited Merchandise Inventory Amount 19,340
Account Credited Income Summary Amount 19,340
- c. Account Debited Uncollectible Accounts Expense Amount 2,310
Account Credited Allowance for Uncollectible Accts Amount 2,310
Note to Graders – Similar account names should be counted as correct (e.g. Bad Debts Expense and Allowance for Bad Debts)
3. a. 725,000
b. 451,535
c. 1,176,535
d. 1.42 or 1.52 (count either as correct)

Job 1 – Depreciation – 44 Points – Each answer is worth two points

	Forklift			Shelving		
	Annual Depreciation	Accumulated Depreciation	Ending Book Value	Annual Depreciation	Accumulated Depreciation	Ending Book Value
2021	2,400	2,400	3,600	250	250	3,750
2022	1,440	3,840	2,160	937.50	1,187.50	2,812.50
2023	864	4,704	1,296	703.13	1,890.63	2,109.37

a. Would you have a gain or loss on the sale? **Gain**

What is the amount of the gain or loss? **234**

b. Would you have a gain or loss on the sale? **Loss**

What is the amount of the gain or loss? **109.37**

Job 2 – Balance Sheet, Financial Ratios – 68 Points**Part 1 – 56 Points – 1 Point per shaded answer**

Quick-Mart						
Comparative Balance Sheet						
December 31, 2021 and 2020						
					Increase / Decrease	
			2021	2020	Dollars	Percent
ASSETS						
Cash			47,590	41,625	5,965	14.3
Accounts Receivable			89,520	68,120	21,400	31.4
Merchandise Inventory			142,215	150,200	-7,985	-5.3
Supplies			3,975	3,180	795	25.0
Total Current Assets			283,300	263,125	20,175	7.7
Office Equipment			85,410	75,350	10,060	13.4
Store Equipment			23,960	25,500	-1,540	-6.0
Total Plant Assets			109,370	100,850	8,520	8.4
Total Assets			392,670	363,975	28,695	7.9
LIABILITIES						
Accounts Payable			71,100	74,710	-3,610	-4.8
Employees' Federal Inc. Tax Payable			2,450	2,270	180	7.9
Social Security Tax Payable			780	725	55	7.6
Medicare Tax Payable			205	185	20	10.8
Federal Unemployment Tax Payable			120	100	20	20.0
State Unemployment Tax Payable			405	390	15	3.8
Sales Tax Payable			3,960	4,355	-395	-9.1
Total Liabilities			79,020	82,735	-3,715	-4.5
STOCKHOLDERS' EQUITY						
Capital Stock			150,000	150,000	0	0.0
Retained Earnings			163,650	131,240	32,410	24.7
Total Stockholders' Equity			313,650	281,240	32,410	11.5
Total Liabilities & Stockholders' Equity			392,670	363,975	28,695	7.9

Part 2 – 12 Points – 2 points each

	<u>2021</u>	<u>2020</u>
a. Current Ratio	<u>3.6</u>	<u>3.2</u>
b. Debt to Equity	<u>25.2%</u>	<u>29.4%</u>
c. Debt Ratio	<u>20.1%</u>	<u>22.7%</u>

Job 3 – Plant Asset Transactions – 36 Points – 1 point for each account and amount

Note to Graders – The order of accounts for each transaction could be different. Count as correct as long as the account names and amounts are correct.

General Journal

Date	Account	Debit	Credit
Jan 5	Vehicle	30,300	
	Accumulated Depreciation - Vehicle	12,700	
	Vehicle		28,000
	Cash		15,000
Apr 15	Depreciation Expense - Equipment	300	
	Accumulated Depreciation - Equipment		300
Apr 15	Cash	1,500	
	Accumulated Depreciation - Equipment	1,700	
	Equipment		3,000
	Gain on Plant Assets		200
July 3	Equipment	4,000	
	Accounts Payable		4,000
Oct 6	Vehicle	22,000	
	Cash		22,200
Dec 31	Depreciation Expense -Equipment	800	
	Accumulated Depreciation - Equipment		800
Dec 31	Depreciation Expense – Vehicle	1,955	
	Accumulated Depreciation - Vehicle		1,955